

A business bank's deposits and lending — Path C levelling record and PCO brief v1

Path C, incumbent line · Prime Commercial Opportunity · brief v1 · 18 September 2026 · runner-drafted, principal to confirm or correct

Architect: a large UK SME bank. Allocator: its central investment committee. Method: IVE PCO Path C (RD-023, canon 16 September 2026) with RD-024 cost-target modes, RD-025 one-strike rule and RD-026 core-business default. Drafted by the runner on the principal's behalf under the propose-and-confirm rule (27 August 2026) and the derived-work rule (1 September 2026). Public and generic sources only.

The line, as stated. "The way a business bank accepts deposits and lends out to customers." The third venture in the portfolio for this bank, after Readback 1.0 (the confirmed record) and Kept (the account that keeps the books).

Ruling in one line — delegated, object by 20 September 2026 17:00. The line levels to two cases, not one. The market delivers "hold and move a business's money" and "lend a business money" by different routes, with different gates and different prices. This brief carries both, and proposes the lending line as the case for this venture. Kept already occupies the deposit line; a second run on it would restate Kept. Cost-target mode 3 (just show me). Scale is the incumbent's own volume.

[!] Confidentiality. The bank is unnamed. No internal figure, system, plan, person or client name appears. Values the bank holds are red fields: [name]. The growth target and the hurdle rate stay in chat if internal.

0 · Defined terms

Term	Meaning here
Levelled case	The broadest case the market delivers the same way today. Stop where the next-broader case would be delivered a different way.
Delivery difference	What changes between two cases in how the market makes, sells, delivers or gets paid for the job.
Current buyers	Businesses the incumbent serves today on this line. A fact with a count and a source.
Excluded population	Businesses the conventional form refuses or deters. Researched, [!] UNVALIDATED, with the reason for exclusion.
Mode 3	Cost-target mode "just show me": scale is the incumbent's volume; no reach or cut target is set.
Loss-to-price	Annual loss ÷ required price. Below 1.0 at base strikes the case. For the excluded population the ratio stays open until R2.
[!] UNVERIFIED	No public source, or derived. FACT, INFERENCE and ASSUMPTION label the rest.

1 · Investment parameters — propose-and-confirm, defaults set

#	Parameter	Proposed	Basis	Status
1	Investment period	Jan 2027 → Dec 2031 [!] ASSUMED	The 14 and 16 September conventions.	default
2	Required return	30% · 25% and 35% carried [!] ASSUMED	Corporate parent under capital rationing: must beat the existing lending book plus a risk premium. Runner's proposal, standing in for the committee.	default
3	Geography	United Kingdom [!] ASSUMED	Permissions, deposits and data are UK-bound.	default
4	Industry	UK SME banking: deposits, payments and lending [!] ASSUMED	The line itself.	default
5	Capital	£100m [!] ASSUMED · [capital envelope]	The 14 September envelope for a core-line venture. £50m carried.	red field
6	Terminal discount · margin	8% · 20% (10% carried)	Method default; the 14 September convention.	default
7	Scale	The incumbent's volume on the line: [SME lending book £] · [gross SME lending a year £] · [business current accounts, count]	Mode 3 (RD-024). No penetration rate is set.	red field
8	Growth target · hurdle	[growth target, £ by year] · [hurdle and who set it]	Ruling of 11 September 2026. If confidential, run on row 2.	red field

Required-revenue line. $\text{Capital} \times (1 + r)^5 \times 8\% \div 20\%$. At £100m: 25% → £122.1m · 30% → £148.5m (base) · 35% → £179.4m a year at year five. At £50m and 30%: £74.3m. At 10% margin every figure doubles.

Which parameter most changes the verdict. The capital envelope (row 5). In mode 3 scale is fixed by the incumbent's volume, so the rate moves the line by a fifth either way and the capital moves it by half.

2d · Level the line

2d.1 · The job as stated

A business bank takes money from businesses, holds it, moves it on instruction, and lends money to businesses against a promise to repay. One balance sheet funds the second job with the first.

2d.2 · The delivery test

The question is not whether the two jobs share a balance sheet. They do. The question is whether the market delivers them the same way today.

	Hold and move money (the account)	Lend money (loans and overdrafts)
Made	An account on a core system after identity and financial-crime checks	A credit decision after assessment of financials, credit history and security
Sold	Opened at the start of the relationship, mostly digital, often with a free period	Applied for when a need arises; 47% of applications succeed (S2)
Delivered	Instant access; the account runs itself	A facility drawn once, or an overdraft attached to the account
Paid for	A monthly fee after the free period, plus the interest the bank earns on the balance	Interest at a margin over base, plus an arrangement fee
The gate	Is this business who it says it is, and is it safe to serve	Will this business repay
Who is refused	0.2%–11.4% of applications declined; 1.0%–6.9% of accounts terminated a year (S6)	43% of applicants declined; 48% of no-employee applicants (S2)

Four of the four delivery rows differ. Two different gates refuse two different populations. INFERENCE. The two jobs are two conventional forms. Each has its own critical limiting operation. Challenge one's single-case gate would fail on a PCO that spans both.

2d.3 · The levelled cases

	Case A — the account	Case B — the credit facility
Job	Hold a business's money and move it on instruction	Lend a business working money against a promise to repay
Levelled case	The business current account, with the deposit it carries	The term loan and the overdraft, taken together
Next-broader case excluded	Consumer-style accounts for the unregistered sole trader	Asset finance and invoice finance
The delivery difference	The sole trader banks on a personal account today, made under consumer rules with no business identity check	Asset and invoice finance are made against the asset or the invoice, not against the business, and sold by specialist lenders

Why loans and overdrafts level to one case. The market makes both with the same credit decision, on the same financials and security, priced the same way. Success rates track business size in the same way for both: 37% for loans and 47% for overdrafts overall (S2). The overdraft is delivered through the account, but it is made by the credit gate, not the identity gate.

2d.4 · The case for this venture — delegated

Case A is Kept. The 17 September Kept business case shows £59 of the £92 realised per customer is group deposit interest; Kept is the deposit line re-formed. A second run on it would be a restatement.

Case B is open. The runner proposes Case B as this venture's PCO. Sections 3 to 6 carry both cases so the principal can reverse the choice without a rerun.

2c · The insider's lens — drafted [!] ASSUMED, public sources only

What the line sells, to whom, at what price. Business current accounts to UK businesses up to about £25m turnover [!] UNVERIFIED, priced at a monthly fee after a free period, plus the interest earned on balances. Loans and overdrafts to the same base, priced at a margin over base rate plus an arrangement fee. The four largest UK banks hold 85% of business accounts (S9).

Who cannot buy. On the account: businesses that fail identity or financial-crime checks, and businesses the bank judges uneconomic to serve, which the FCA records is lawful outside basic bank accounts (S6, S7). On credit: the smallest and youngest businesses. Success falls from 94% for businesses with 50 to 249 employees to 39% for those with none (S2). Reasons given for decline: current performance, credit rating, lack of security (S2).

Typicality. On accounts the bank is the market default: the big four hold 85% (S9). On lending the high-street form is no longer the majority of the flow. Challenger and specialist banks wrote 60% of gross SME bank lending in 2025, up from 39% in 2012 (S1). The high-street lenders together wrote £17.5bn against £68bn for all banks (S1, S4). INFERENCE. The conventional form — a credit decision on financials, rating and security — is shared across both groups. The challengers deliver the same form faster. The typicality check passes on form and fails on share. Record both.

Red fields the insider corrects. [SME lending book £] · [gross SME lending a year £] · [business current accounts, count] · [decline rate, lending] · [decline and termination rate, accounts] · [share of customers under £500k turnover] · [cost to serve a small account £ a year] · [cost to underwrite a small loan £].

3 · Population in two parts

Case B — the credit facility

Part	Who	Count	Source and status
Current buyers	The bank's borrowing SMEs	[borrowing customers, count]	Red field. Public proxy: about half of UK SMEs used external finance in 2025 (S1); 28% used a core bank product — loan, overdraft or credit card (S2).
Excluded — declined	Applicants the credit gate refused	43% of applicants; 48% of no-employee applicants (S2)	FACT for the market, [!] UNVALIDATED for the bank. Reason: performance, rating, security.
Excluded — deterred	Would-be seekers who did not apply	5% of SMEs, about 285,000 of 5.7m (S2, S8)	[!] UNVALIDATED. Reason: process, expense, hassle.
Excluded — self-funded	Businesses that "had to" inject personal funds	22% of SMEs, about 1.25m (S2, S8)	[!] UNVALIDATED. Reason: the conventional form did not reach them; the founder lent instead.
Not excluded	Permanent non-borrowers, happy non-seekers	35% and 82% of non-applicants respectively (S2)	Struck. No loss; they choose not to borrow.

Case A — the account

Part	Who	Count	Source and status
Current buyers	Businesses with an account at the bank	[business current accounts, count]; 950,000 own base, 836,000 under £500k (14 and 17 September) [!] UNVALIDATED	Red field with a prior estimate.
Excluded — refused	Applications declined	0.2%–11.4% of applications a year (S6)	FACT for the market range, [!] UNVALIDATED for the bank. Reason: financial crime, cost of compliance.
Excluded — removed	Accounts terminated	1.0%–6.9% of accounts a year (S6)	As above. Reason: dormancy, financial crime, commercial.
Excluded — never applied	Unregistered sole traders on personal accounts	3.1m of 5.7m businesses are not registered for VAT or PAYE (S8)	[!] UNVALIDATED as a count of personal-account users. Reason: no business identity to check; a business account costs money they do not pay today.

The ratio, both cases. Loss exists for every excluded row that is not struck. The loss-to-price ratio stays open until R2, per RD-023. The current buyers pass Step 4 by existence: they pay the price today.

4 · Price ceiling, labelled by population

Population	Ceiling	Basis	Status
Case B current buyers	The interest and fees they pay today: margin over base plus arrangement fee	[effective rate on the bank's SME loans] · [overdraft margin]	Red field. 10% of applicants turned down an offer on cost (S2): the ceiling binds at the margin.
Case B excluded	Open until R2	The declined and the self-funded pay nothing to the bank today. The founder's own money is the alternative.	[!] UNVALIDATED
Case A current buyers	The monthly fee plus the interest foregone on the balance	Market fees run at a single-digit pound a month after a free period [!] UNVERIFIED; Kept: £59 of £92 per customer is deposit interest (17 September)	[!] UNVERIFIED for the fee range
Case A excluded	Open until R2	The unregistered sole trader pays nothing for a personal account	[!] UNVALIDATED

5 · Scale target — mode 3

Scale is the incumbent's volume on the line. Public floor for the high street as a whole: £17.5bn gross SME lending in 2025, £4.6bn in the fourth quarter (S4). The bank's share is a red field: [gross SME lending a year £]. The required-revenue line of section 1 is tested against that volume, not against a penetration of the market.

The inverted-trap guard (RD-023). Mode 3 sets no reach or cut target. The venture is not asked to grow the book; it is asked to show what the conventional form costs at the incumbent's own volume, and what a form that reaches the excluded would cost at the same volume.

6 · PCO statement — Case B, delegated

Who. UK businesses with fewer than 50 employees that need working money and would repay it: the bank's borrowing customers, plus the applicants the credit gate refuses and the founders who lend to their own business instead.

The condition they face. The conventional form decides credit on financials, a credit history and security. The smallest businesses cannot supply them. Success falls from 94% to 39% across the size range (S2). One in five SMEs put in personal money because they had to (S2). Half of those who apply are declined; a further 5% do not apply because the process deters them.

Why it has the right financial shape. Scale is the incumbent's own book, so the revenue line does not depend on a share of a market. The excluded population is at least twice the size of the current borrowers in count (about 1.5m against a public proxy of $28\% \times 5.7m \approx 1.6m$ using a core product — but the excluded count includes 1.25m self-funders) [!] UNVALIDATED. Whether their loss clears the required price is the R2 question.

PCO statement, Case A, held in reserve. UK businesses that need to hold and move money: the bank's account holders, plus those refused or removed on financial-crime or cost grounds, plus the unregistered sole traders on personal accounts. Kept covers the current buyers; the excluded rows are new.

7 · Conventional model mapping and the CLO candidate — for C1, not decided here

Case	Conventional form (C1 SR1 draft)	Critical limiting operation — candidate
B — credit	Made by a credit decision on financials, rating and security; sold on application; delivered as a facility; paid for by interest at a margin plus a fee	The per-application underwriting that needs evidence the smallest business cannot produce. The cost of the decision is near-fixed and the loan is small. [!] Candidate only
A — account	Made by identity and financial-crime checks on a core system; sold at relationship start; delivered as instant access; paid for by fee plus balance interest	The per-account cost to serve and to keep compliant, near-fixed against a small balance. [!] Candidate only

C1 SR1 is entered with the form above. C1 SR2 onward derives the CLO and the workaround. Holding the form fixed through C1 would be justification mode (integrity capped at 59); it is not held fixed.

8 · Hand-off

Next: [/balm-challenge-1-custom](#) on Case B, entering at SR1 with section 7 as the draft. Entry gate: this PCO confirmed (object-after runs to 20 September 2026 17:00); category single case (section 2d); Path C mode 3, excluded population present (section 3). Failure test for R1 in mode 3: a form a challenger could not adopt without changing architecture.

Confidence

Claim	Level	Why
The line levels to two cases	INFERENCE, high	Four of four delivery rows differ; two gates refuse two populations.
Case B is the case for this venture	DELEGATED	Kept occupies Case A. Reversible without rerun.
Market decline and use rates	FACT	SME Finance Monitor Q4 2024, BBB March 2026, FCA September 2023.
The bank's own rates and volumes	RED FIELD	No public source. The insider corrects.
The excluded counts	[!] UNVALIDATED	Market percentages applied to the DBT population; not the bank's base.
The fee range on accounts	[!] UNVERIFIED	No single public source checked.

Sources

#	Source	Used for
S1	British Business Bank, Small Business Finance Markets 2025/26, press release 17 March 2026	£68bn gross SME bank lending 2025; challengers 60% (39% in 2012); about half of SMEs use external finance; 314,000 start-ups
S2	BVA BDRC, SME Finance Monitor Q4 2024, management summary (March 2025)	Use of finance 45%; core products 28%; permanent non-borrowers 35%; personal funds 37% (22% "had to"); would-be seekers 5%; application success 47% and by size; declines 43% (48% no-employee); reasons; 10% turned down on cost; loans 37%, overdrafts 47%
S3	UK Finance, Business Finance Review 2025 Q3 (December 2025)	Overdraft utilisation 47%; deposits above pre-pandemic by 6% (sight) and 17% (time); repayments £5.3bn a quarter
S4	UK Finance, press release "SME lending increases for second consecutive year" (2026)	£17.5bn gross lending 2025 by high-street lenders; £4.6bn Q4; small-business lending up more than a quarter

#	Source	Used for
S5	FCA, UK Payment Accounts: access and closures, update (September 2024)	Reasons: dormancy, financial crime, cost of compliance; firms may refuse uneconomic customers outside basic accounts (2.31–2.32)
S6	FCA, UK Payment Accounts: access and closures (September 2023), 4.6–4.7	Business accounts: declined 0.2%–11.4%, terminated 1.0%–6.9%, suspended 0.05%–1.8%, H2 2022–H1 2023; outliers to 40% declines
S7	FCA, as S6, 4.37 and figure 5	Most common reasons for business account declines: commercial or cost of compliance, financial-crime concerns
S8	DBT, Business Population Estimates 2025	5.7m private-sector businesses; 5.64m under 50 employees; 4.27m with no employees; 2.6m registered for VAT or PAYE (46%)
S9	Scottish Financial News, reporting FCA data (2025)	The four largest banks hold 85% of UK business accounts [!] secondary source
S10	Kept business case one-page v4, 17 September 2026 (internal to the vault)	£59 of £92 per customer is deposit interest; 836,000 businesses under £500k
S11	Bigger venture PCO v1, 14 September 2026 (internal to the vault)	Investment conventions; £100m envelope; own base 950,000
S12	RD-023, RD-024, RD-025, RD-026 (R&D register)	Path C, cost-target modes, one-strike rule, core-business default

Changelog

Version	Date	Change
v1	18 September 2026	First draft. Runner-drafted on the principal's behalf. Object-after to 20 September 2026 17:00.